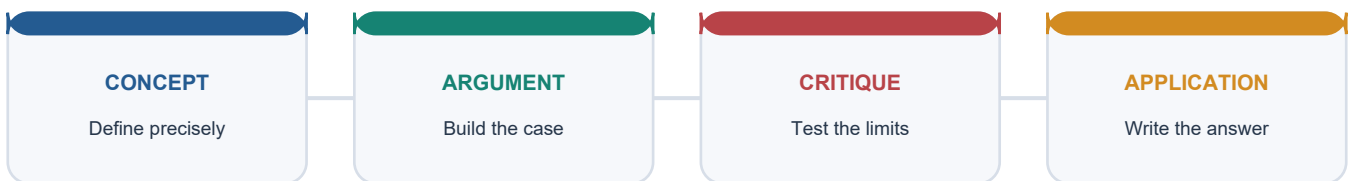


SOLVED PRACTICE WORKBOOK

Banking Structure, NBFCs and Financial Regulation - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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Banking Structure, NBFCs and Financial Regulation - Solved Practice Workbook

Standalone scope: exactly 32 original MCQs before PYQs, strict ABCD rotation repeated eight times, 128 substantive unique option explanations, 32 unique examiner traps, official-key discipline and six original Mains models.

Practice contract: exactly 32 original MCQs; correct answers follow ABCD repeated eight times. Every option receives a question-specific explanation.

BASIC MCQS / REMEDIATION

MCQ 1

Which feature is part of the statutory meaning of banking under section 5(b) of the Banking Regulation Act?

- A. Accepting public deposits repayable on demand or otherwise for lending or investment
- B. Accepting only equity capital for own investment
- C. Providing investment advice without taking repayable funds
- D. Operating a securities exchange for listed companies

Answer: A.

Option-specific explanations:

- **A - Correct:** It preserves both the liability side and the use of funds in the statutory definition.
- **B - Incorrect:** Equity raised from owners is not a public deposit repayable to customers.
- **C - Incorrect:** Advice alone does not satisfy the deposit-and-lending definition.
- **D - Incorrect:** Exchange operation falls in the securities-market perimeter, not section 5(b) banking.

Examiner trap 1: Do not reduce banking to lending; the public-deposit and withdrawal promise is essential.

MCQ 2

On a commercial bank's balance sheet, which item is ordinarily a liability?

- A. Loans to households
- B. Customer fixed deposits
- C. Government securities held by the bank
- D. Cash balance maintained with RBI

Answer: B.

Option-specific explanations:

- **A - Incorrect:** A loan is a claim receivable by the bank and therefore an asset.
- **B - Correct:** The bank owes the deposited principal and contracted interest to the customer.
- **C - Incorrect:** An investment owned by the bank is an asset, even if liquid.
- **D - Incorrect:** Cash and reserve balances are assets available for settlement or compliance.

Examiner trap 2: Read the balance sheet from the bank's perspective, not the customer's.

MCQ 3

What best describes maturity transformation by a bank?

- A. Turning every term deposit into equity capital
- B. Exchanging damaged currency notes for new notes
- C. Funding longer loans with a mix that includes shorter or withdrawable liabilities
- D. Converting a non-performing loan into cash without loss

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Deposits remain debt liabilities and do not become owner capital.
- **B - Incorrect:** Currency exchange is an operational service, not maturity transformation.
- **C - Correct:** Banks bridge savers' liquidity preference and borrowers' longer financing horizon.
- **D - Incorrect:** Illiquid credit cannot be assumed to become cash at par.

Examiner trap 3: Maturity transformation creates value and liquidity risk at the same time.

MCQ 4

Which statement about scheduled-bank status is correct?

- A. It is conferred automatically on every company licensed to lend
- B. It means the bank is owned by the Union Government
- C. It guarantees that RBI will prevent the bank from failing
- D. It is defined by inclusion in the Second Schedule to the RBI Act, 1934

Answer: D.

Option-specific explanations:

- **A - Incorrect:** A lending company may be an NBFC and not a bank, much less a scheduled bank.
- **B - Incorrect:** The Schedule includes banks with different ownership forms.
- **C - Incorrect:** Legal classification does not remove insolvency or resolution risk.
- **D - Correct:** Second Schedule inclusion is the defining legal test.

Examiner trap 4: Scheduled is a statutory status, not an ownership or guarantee label.

MCQ 5

Which statement correctly separates ownership from regulation?

- A. A public-sector bank may be government-owned while RBI separately regulates its banking conduct
- B. RBI owns every bank that it supervises
- C. A private bank's board replaces the need for prudential rules
- D. Government ownership makes management decisions an MPC function

Answer: A.

Option-specific explanations:

- **A - Correct:** Ownership rights and regulatory powers arise from different legal relationships.
- **B - Incorrect:** Supervisory jurisdiction does not transfer ownership to the regulator.
- **C - Incorrect:** Board governance and external prudential supervision perform different functions.
- **D - Incorrect:** The Monetary Policy Committee does not manage commercial-bank credit decisions.

Examiner trap 5: Always identify owner, board, management and regulator separately.

MCQ 6

Which statement about a foreign bank's presence in India is most accurate?

- A. A foreign bank can operate only through a representative office that accepts deposits
- B. A branch and a locally incorporated wholly owned subsidiary are distinct regulatory forms
- C. Both forms have identical local capital and governance treatment
- D. Foreign ownership removes RBI licensing jurisdiction

Answer: B.

Option-specific explanations:

- **A - Incorrect:** A representative office is not a deposit-taking bank branch.
- **B - Correct:** RBI applies model-specific entry, capital and governance conditions.
- **C - Incorrect:** Branch and subsidiary models create different legal and loss-absorption structures.
- **D - Incorrect:** Banking in India remains subject to RBI permission and regulation.

Examiner trap 6: Do not transfer a WOS condition mechanically to the branch model.

MCQ 7

What is the statutory ownership ratio of a Regional Rural Bank?

- A. Union Government 51%, RBI 24%, NABARD 25%
- B. Sponsor bank 50%, State Government 35%, Union Government 15%
- C. Union Government 50%, sponsor bank 35%, State Government 15%
- D. Union and State Governments hold 50% each

Answer: C.

Option-specific explanations:

- **A - Incorrect:** RBI and NABARD are not statutory equity owners in that formula.
- **B - Incorrect:** The shares are assigned in a different order under the RRB framework.
- **C - Correct:** The 50:35:15 formula reflects three-way ownership under the RRB Act.
- **D - Incorrect:** The sponsor bank's statutory stake cannot be omitted.

Examiner trap 7: Remember both the numbers and which institution owns each share.

MCQ 8

What is the safest description of co-operative-bank dual control after the 2020 amendment?

- A. All State and Central Registrar powers were abolished
- B. RBI regulates only payments while States regulate prudence
- C. Every primary co-operative society became an insured bank
- D. RBI's banking and governance powers expanded, while co-operative-law functions still remain with the relevant registrar

Answer: D.

Option-specific explanations:

- **A - Incorrect:** The co-operative legal form, registration and specified bye-law processes remain.
- **B - Incorrect:** RBI's banking-law role includes licensing, prudence and supervision.
- **C - Incorrect:** A credit society does not become a bank merely because co-operative law permits member transactions.
- **D - Correct:** The amendment narrows regulatory gaps without erasing the co-operative-law layer.

Examiner trap 8: Avoid saying dual control ended completely.

MCQ 9

Which feature most clearly characterises the Local Area Bank model?

- A. A banking licence combined with a deliberately limited local geography
- B. A nationwide bank prohibited from local lending
- C. An NBFC permitted to issue cheques without a bank licence
- D. A co-operative society owned only by its borrowers

Answer: A.

Option-specific explanations:

- **A - Correct:** The model combines deposit banking with a geographically bounded market.
- **B - Incorrect:** The model was created precisely for local mobilisation and credit.
- **C - Incorrect:** Cheque-linked deposit banking requires the banking perimeter.
- **D - Incorrect:** LABs are a distinct private-sector banking model, not co-operative societies.

Examiner trap 9: Do not confuse local geography with co-operative ownership.

MCQ 10

Which statement about Small Finance Banks is correct as of the cited rules?

- A. They may provide payments but cannot lend from their balance sheet
- B. They accept deposits and lend, with an overall PSL target of 60% from FY 2025-26
- C. They are always Base-Layer NBFCs
- D. Their PSL target is permanently fixed by the Constitution

Answer: B.

Option-specific explanations:

- **A - Incorrect:** That restriction defines Payments Banks, not SFBs.
- **B - Correct:** RBI's 20 June 2025 circular set the 60 per cent overall target from FY 2025-26.
- **C - Incorrect:** An SFB is a bank, not an NBFC layer.
- **D - Incorrect:** PSL targets come from RBI directions and can change.

Examiner trap 10: Date the current SFB target and keep it separate from the Payments Bank model.

MCQ 11

Which combination correctly describes a Payments Bank under RBI directions updated 1 April 2026?

- A. Term project lending is permitted but remittances are prohibited
- B. Credit cards are permitted if deposits stay below Rs 2 lakh
- C. Demand deposits and payments are permitted, but own-balance-sheet lending is prohibited
- D. It is an NBFC because it cannot lend

Answer: C.

Option-specific explanations:

- **A - Incorrect:** The model centres on payments and does not permit ordinary lending.
- **B - Incorrect:** The deposit cap does not authorise credit-card lending.
- **C - Correct:** The licence separates payment and deposit access from credit intermediation.
- **D - Incorrect:** A Payments Bank is a differentiated bank with a banking licence.

Examiner trap 11: No lending does not mean no banking status.

MCQ 12

What is the current Payments Bank customer-balance rule cited in this package?

- A. Maximum Rs 2 lakh across every bank owned by the customer
- B. Minimum Rs 2 lakh balance before payments are allowed
- C. No cap applies because DICGC insurance is Rs 5 lakh
- D. Maximum Rs 2 lakh per individual customer at the end of the day

Answer: D.

Option-specific explanations:

- **A - Incorrect:** The rule applies to an individual customer's balance with the Payments Bank.
- **B - Incorrect:** The amount is a ceiling, not a minimum.
- **C - Incorrect:** Deposit insurance and the Payments Bank operating cap are separate rules.
- **D - Correct:** RBI Directions updated 1 April 2026 retain the end-of-day ceiling.

Examiner trap 12: Do not substitute the DICGC limit for the Payments Bank balance limit.

MCQ 13

Which statement best describes a Business Correspondent?

- A. An agent delivering specified bank services while the bank remains responsible
- B. A separate bank that may create deposits in its own name
- C. An unregulated lender exempt from customer-protection rules
- D. A DICGC office that pays insured deposits

Answer: A.

Option-specific explanations:

- **A - Correct:** The agency model extends reach without transferring the bank's legal responsibility.
- **B - Incorrect:** The BC acts for the principal bank and does not become a bank.
- **C - Incorrect:** The appointing bank must control and monitor the arrangement.
- **D - Incorrect:** Deposit insurance administration is unrelated to the BC agency role.

Examiner trap 13: Agent access is not a separate banking licence.

MCQ 14

Which statutory provision is central to licensing a banking company?

- A. Section 42 of the RBI Act alone
- B. Section 22 of the Banking Regulation Act, 1949
- C. Section 3 of the DICGC Act
- D. Section 45-IA of the RBI Act for every bank

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Section 42 concerns scheduled-bank reserves and schedule status, not the whole licensing power.
- **B - Correct:** Section 22 places banking-company entry within RBI's licensing power.
- **C - Incorrect:** That provision establishes the deposit insurer rather than granting bank licences.
- **D - Incorrect:** Section 45-IA governs NBFC registration, not commercial-bank licensing.

Examiner trap 14: Do not confuse a bank licence, scheduled status and NBFC registration.

MCQ 15

Which institutions are excluded from the revised SCB PCA framework effective 1 January 2022?

- A. Foreign bank branches and subsidiaries
- B. All private-sector banks
- C. Small Finance Banks, Payments Banks and Regional Rural Banks
- D. All non-scheduled commercial banks only

Answer: C.

Option-specific explanations:

- **A - Incorrect:** The framework states that banks operating in India include foreign branches and subsidiaries.
- **B - Incorrect:** Private ownership does not create a general PCA exemption.
- **C - Correct:** The RBI circular's addressee line expressly identifies these three exclusions.
- **D - Incorrect:** The cited framework is for scheduled commercial banks and names different exclusions.

Examiner trap 15: Apply a PCA framework only to the entity class named in the direction.

MCQ 16

Which statement correctly distinguishes PCA from resolution?

- A. PCA automatically pays every depositor Rs 5 lakh
- B. PCA transfers ownership to RBI immediately
- C. Resolution is merely a higher CRAR threshold
- D. PCA imposes early corrective restrictions; resolution restructures or winds down a failing institution

Answer: D.

Option-specific explanations:

- **A - Incorrect:** DICGC, not PCA, administers insured-deposit protection.
- **B - Incorrect:** Corrective supervision does not itself nationalise the bank.
- **C - Incorrect:** Resolution concerns institutional continuity and loss allocation, not a prudential ratio.
- **D - Correct:** PCA seeks recovery before disorderly failure while resolution handles non-viability.

Examiner trap 16: Prevention, liquidity support, resolution and insurance are four different tools.

MCQ 17

How are multiple accounts of one depositor in different branches of the same bank treated for DICGC cover?

- A. They are aggregated when held in the same right and capacity
- B. Each branch automatically receives a separate Rs 5 lakh cover
- C. Only the oldest account is insured
- D. Savings accounts are insured but fixed deposits are excluded

Answer: A.

Option-specific explanations:

- **A - Correct:** DICGC applies the same-right-and-capacity rule across the insured bank.
- **B - Incorrect:** Branch location does not split the bank-wise insurance unit.
- **C - Incorrect:** Eligible balances are aggregated rather than selected by age.
- **D - Incorrect:** Eligible savings, current, fixed and recurring deposits are covered subject to exceptions.

Examiner trap 17: The unit is not account-by-account or branch-by-branch.

MCQ 18

Which claim is outside DICGC deposit insurance?

- A. A savings deposit in an insured commercial bank
- B. A debenture issued by an NBFC
- C. A fixed deposit in an insured RRB
- D. A current account in an insured Local Area Bank

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Savings deposits are eligible bank deposits within the statutory ceiling.
- **B - Correct:** DICGC protects eligible bank deposits, not market securities or ordinary NBFC liabilities.
- **C - Incorrect:** RRBs are insured banks under the scheme.
- **D - Incorrect:** Eligible current deposits in covered banks fall within deposit insurance.

Examiner trap 18: Regulation by RBI does not itself create deposit insurance.

MCQ 19

Under RBI's NBFC principal-business test, which combination is required?

- A. Either financial assets or income exceeding 25%
- B. All assets and all income must be financial
- C. Financial assets over 50% of total assets and financial income over 50% of gross income
- D. Only a company name containing finance

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Both limbs of the 50-50 test are required.
- **B - Incorrect:** The test identifies predominance, not exclusivity.
- **C - Correct:** RBI's FAQ updated 29 April 2026 states the two cumulative tests.
- **D - Incorrect:** Branding does not establish principal business.

Examiner trap 19: Apply both 50 per cent limbs, not either one.

MCQ 20

Which feature ordinarily separates an NBFC from a bank?

- A. An NBFC cannot make loans
- B. An NBFC cannot borrow from banks or markets
- C. An NBFC is never supervised by RBI
- D. An NBFC cannot accept demand deposits or issue cheques drawn on itself

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Lending is a central NBFC activity.
- **B - Incorrect:** Non-deposit-taking entities can still use wholesale and institutional funding.
- **C - Incorrect:** RBI registers and supervises NBFCs within its statutory perimeter.
- **D - Correct:** Demand-deposit and payment-system powers define the sharper boundary.

Examiner trap 20: Do not call an NBFC a bank merely because both extend credit.

MCQ 21

Which statement correctly distinguishes NBFC-D from NBFC-ND?

- A. NBFC-D has specific permission to accept public deposits; NBFC-ND does not
- B. NBFC-ND has no liabilities to outside parties
- C. NBFC-D deposits receive DICGC insurance
- D. Every registered NBFC may choose either status daily

Answer: A.

Option-specific explanations:

- **A - Correct:** The suffix describes public-deposit permission, not the whole funding structure.
- **B - Incorrect:** It may borrow from banks, markets or group entities.
- **C - Incorrect:** DICGC does not insure deposits accepted by NBFCs.
- **D - Incorrect:** Deposit-taking requires the applicable authorisation and compliance.

Examiner trap 21: Public funds are broader than public deposits.

MCQ 22

Which entity belongs to the SBR Base Layer by activity regardless of ordinary size classification?

- A. Every deposit-taking NBFC
- B. NBFC-Account Aggregator
- C. Every Housing Finance Company
- D. Every Core Investment Company

Answer: B.

Option-specific explanations:

- **A - Incorrect:** All NBFC-D are placed in Middle Layer unless escalated.
- **B - Correct:** The 2025 SBR Directions specifically keep Account Aggregators in Base Layer.
- **C - Incorrect:** HFCs are specified for Middle Layer unless in Upper Layer.
- **D - Incorrect:** CICs are Middle or Upper Layer under the current framework.

Examiner trap 22: Activity-based placement can override a simple size shortcut.

MCQ 23

Which NBFC is necessarily placed in Middle Layer under the cited SBR directions unless in Upper Layer?

- A. Every non-deposit-taking NBFC below Rs 1,000 crore
- B. Every NBFC-P2P platform
- C. A deposit-taking NBFC of any asset size
- D. Every Type-I NBFC without public funds or customer interface

Answer: C.

Option-specific explanations:

- **A - Incorrect:** That is the ordinary Base-Layer size rule.
- **B - Incorrect:** P2P platforms remain in Base Layer by activity.
- **C - Correct:** Deposit-taking status itself places the entity in Middle Layer.
- **D - Incorrect:** Type-I NBFCs are specified for Base Layer.

Examiner trap 23: Size is not the only SBR determinant.

MCQ 24

What changed for NBFC Upper Layer identification on 24 June 2026?

- A. All NBFCs above Rs 1,000 crore automatically became Upper Layer
- B. Upper Layer was abolished and merged into Top Layer
- C. Every government NBFC was permanently exempt from SBR
- D. The framework specified an audited asset-size threshold of Rs 1,00,000 crore and above

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Rs 1,000 crore is the ordinary Middle-Layer threshold for non-deposit takers.
- **B - Incorrect:** The four-layer structure continues.
- **C - Incorrect:** Government NBFCs remain within the framework subject to current directions.
- **D - Correct:** The Second Amendment replaced the prior identification method with the stated size threshold.

Examiner trap 24: Attach the June 2026 date because the Upper-Layer rule changed.

MCQ 25

Which pair states the CIC asset-composition tests?

- A. At least 90% in group-company exposures and at least 60% in qualifying group equity/InvIT sponsor units
- B. At least 60% housing finance and 50% individual housing
- C. At least 75% microfinance assets and 25% deposits
- D. At least 50% factoring assets and 50% factoring income

Answer: A.

Option-specific explanations:

- **A - Correct:** The CIC thresholds bind the entity to group-holding activity.
- **B - Incorrect:** Those percentages identify an HFC.
- **C - Incorrect:** The 75 per cent test belongs to NBFC-MFI and the deposit claim is wrong.
- **D - Incorrect:** That 50-50 pair identifies an NBFC-Factor.

Examiner trap 25: Keep net-asset composition separate from ordinary company shareholding.

MCQ 26

Which pair identifies an HFC under the current RBI description?

- A. 90% group-company assets and 60% group equity
- B. At least 60% of assets in housing finance and at least 50% of total assets in individual housing finance
- C. 75% microfinance assets and household income below Rs 3 lakh
- D. 50% factoring assets and 50% factoring income

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Those are CIC tests.
- **B - Correct:** The 60/50 structure preserves both housing focus and individual-housing depth.
- **C - Incorrect:** Those conditions concern NBFC-MFI and microfinance loans.
- **D - Incorrect:** Those conditions identify an NBFC-Factor.

Examiner trap 26: Do not call every mortgage lender an HFC without the principal-business tests.

MCQ 27

Which statement accurately describes an NBFC-MFI under the cited April 2026 RBI FAQ?

- A. It is a Payments Bank limited to Rs 2 lakh deposits
- B. It may secure every microloan by a lien on the borrower's deposit
- C. At least 75% of assets are microfinance loans, which are collateral-free loans to households with annual income up to Rs 3 lakh
- D. It must hold 90% of assets in group-company securities

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Microfinance institution and Payments Bank are different categories.
- **B - Incorrect:** The collateral-free rule bars linking the loan to such a lien.
- **C - Correct:** Both the institution-level 75 per cent test and loan-level income/collateral test are required.
- **D - Incorrect:** That is the CIC concentration test.

Examiner trap 27: Do not confuse an NBFC-MFI with the wider category of all microfinance lenders.

MCQ 28

What is the principal-business test for an NBFC-Factor?

- A. At least 60% of assets in housing finance
- B. At least 75% of assets in collateral-free household loans
- C. At least 90% of net assets in group companies
- D. At least 50% of total assets and 50% of gross income from factoring

Answer: D.

Option-specific explanations:

- **A - Incorrect:** That is part of the HFC definition.
- **B - Incorrect:** That is the NBFC-MFI asset test.
- **C - Incorrect:** That is the CIC test.
- **D - Correct:** The two 50 per cent tests tie both balance sheet and earnings to receivables finance.

Examiner trap 28: Factoring is receivables finance, not a generic loan label.

MCQ 29

Which activity is prohibited for an NBFC-P2P under the 2025 Directions?

- A. Lending from its own balance sheet or guaranteeing participant loans
- B. Providing an online marketplace for participants
- C. Assessing participant eligibility under board-approved policy
- D. Routing prescribed fund flows through escrow arrangements

Answer: A.

Option-specific explanations:

- **A - Correct:** The platform must remain an intermediary and cannot assume credit risk.
- **B - Incorrect:** Loan facilitation is the platform's permitted core function.
- **C - Incorrect:** Eligibility and matching rules form part of platform governance.
- **D - Incorrect:** Escrow separates participant money from the platform's own balance sheet.

Examiner trap 29: No guarantee means lenders bear the credit loss; registration is not assurance of return.

MCQ 30

Which statement best defines an NBFC-Account Aggregator?

- A. A deposit wallet insured by DICGC
- B. A consent-based financial-information intermediary that neither lends nor executes asset transactions
- C. A P2P lender that sets guaranteed returns
- D. A credit bureau that owns every customer's raw financial data

Answer: B.

Option-specific explanations:

- **A - Incorrect:** An AA cannot accept deposits and is outside bank-deposit insurance.
- **B - Correct:** AA regulation creates a neutral information rail governed by explicit customer consent.
- **C - Incorrect:** AA activity concerns data, not loan matching or guarantees.
- **D - Incorrect:** Customer financial information does not become the AA's property.

Examiner trap 30: Information transfer, payment transfer and credit intermediation are different functions.

MCQ 31

Which chain best explains NBFC systemic risk?

- A. Demand deposits -> cheque clearing -> DICGC payout in every case
- B. Higher equity -> lower leverage -> automatic contagion
- C. Short-term wholesale funding -> long assets -> rollover shock -> fire sales and interconnected losses
- D. Long-term funding -> liquid assets -> no confidence effect

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Ordinary NBFCs lack bank demand deposits and DICGC cover.
- **B - Incorrect:** More loss-absorbing equity normally reduces, rather than mechanically creates, fragility.
- **C - Correct:** The chain captures asset-liability mismatch and network propagation.
- **D - Incorrect:** This configuration does not describe the classic maturity-mismatch channel.

Examiner trap 31: Non-bank does not mean non-systemic.

MCQ 32

Which statement best separates NABARD, SIDBI and NaBFID?

- A. All three are Payments Banks
- B. All three insure deposits
- C. All three are ordinary NBFC-Factors
- D. They have distinct rural, MSME and infrastructure development-finance mandates

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Their statutory development mandates are not narrow payment licences.
- **B - Incorrect:** DICGC, not these DFIs, is the statutory deposit insurer.
- **C - Incorrect:** Their legal creation and sector mandates differ from receivables-finance companies.
- **D - Correct:** Institutional purpose, funding horizon and target sector distinguish the three DFIs.

Examiner trap 32: Government connection does not make development institutions interchangeable.

PYQS AND ANSWER PRACTICE

VERIFIED PYQ ROUTES AND OFFICIAL-KEY DISCIPLINE

The repository routes thirteen objective demands to Topic 5. Exact wording is reproduced for the locally legible 2024 questions. The final official 2024 Set-A key is used exactly; Question 52 was dropped. The locally held 2026 key is provisional, so the required withholding sentence is used. No official descriptive model answer exists.

PYQ 1 - UPSC Prelims 2024, GS Paper I, Set A, Question 42

Consider the following statements:

1. In India, Non-Banking Financial Companies can access the Liquidity Adjustment Facility window of the Reserve Bank of India.
2. In India, Foreign Institutional Investors can hold Government Securities.
3. In India, Stock Exchanges can offer separate trading platforms for debts.

Which of the statements given above is/are correct?

- A. 1 and 2 only
- B. 3 only
- C. 1, 2 and 3
- D. 2 and 3 only

Official Set-A key: C.

Solution: The official key treats all three statements as correct. The exam lesson is to avoid converting a general institutional label into an absolute access rule: specified non-bank institutions and market arrangements can receive permissions that ordinary NBFCs do not automatically enjoy. Government securities can be held by eligible foreign portfolio investors under prescribed routes, and exchanges can provide debt segments.

Examiner caution: Follow the official key for this question; do not rewrite the unqualified first statement as a timeless rule that every NBFC has routine LAF access.

PYQ 2 - UPSC Prelims 2024, GS Paper I, Set A, Question 49

With reference to the rule/rules imposed by the Reserve Bank of India while treating foreign banks, consider the following statements:

1. There is no minimum capital requirement for wholly owned banking subsidiaries in India.
2. For wholly owned banking subsidiaries in India, at least 50% of the board members should be Indian nationals.

Which of the statements given above is/are correct?

- A. 1 only
- B. 2 only
- C. Both 1 and 2
- D. Neither 1 nor 2

Official Set-A key: D.

Solution: Statement 1 is false because the WOS route carries a minimum local capital requirement. Statement 2 is also false in the exact wording tested: the applicable governance formulation was more qualified than a bare rule that at least half must be Indian nationals. The current 2025 WOS guidelines must be read separately and dated rather than projected backward into the 2024 item.

Examiner caution: Foreign-bank branch and WOS conditions are model- and vintage-specific.

PYQ 3 - UPSC Prelims 2024, GS Paper I, Set A, Question 52

Statement-I: Syndicated lending spreads the risk of borrower default across multiple lenders.

Statement-II: The syndicated loan can be a fixed amount/lump sum of funds, but cannot be a credit line.

Official Set-A key: Dropped question.

Concept solution: Statement-I describes a central reason for syndication. Statement-II is overbroad because syndicated facilities can be structured in more than one form, including revolving or credit-line arrangements. Since UPSC dropped the item, no answer letter is supplied.

2026 ROUTED DEMANDS

PYQ 4 - UPSC Prelims 2026, GS Paper I, Question 91

Verified demand: RBI Financial Inclusion Index and its Access, Usage and Quality sub-indices.

Answer withheld pending official UPSC key.

Concept route: The FI-Index is multidimensional; branch or account count alone cannot represent usage or service quality.

PYQ 5 - UPSC Prelims 2026, GS Paper I, Question 96

Verified demand: Aviation hull insurance and airline liability under the Montreal Convention.

Answer withheld pending official UPSC key.

Boundary route: Hull insurance covers the aircraft asset; passenger-liability rules arise from a separate legal framework. Detailed aviation law is not re-owned by this banking topic.

PYQ 6 - UPSC Prelims 2026, GS Paper I, Question 99

Verified demand: NBFC demand deposits, RBI registration, bank partnerships for cards/payment services and DICGC insurance.

Answer withheld pending official UPSC key.

Concept route: Ordinary NBFCs cannot accept demand deposits, RBI registration does not create bank status, partnerships do not confer direct payment-system membership, and DICGC does not insure NBFC deposits.

HISTORICAL ROUTED OBJECTIVE DEMANDS

PYQ	Verified demand	Key discipline and answer route
2018 Q96	PSB governance, capital infusion and SBI associate-bank merger	Answer withheld pending official UPSC key. Separate owner capital, statutory governance and merger facts.
2019 Q61	Service Area Approach under the Lead Bank Scheme	Answer withheld pending official UPSC key. Treat it as place-based credit planning, not a bank category.
2019 Q64	Commercial-bank assets	Answer withheld pending official UPSC key. Loans, investments, cash and balances are assets; deposits are liabilities.
2019 Q73	Selection of public-sector bank chairmen	Answer withheld pending official UPSC key. Separate Government appointment, board process and RBI regulation.
2020 Q50	Cash withdrawal from a demand deposit and money supply	Answer withheld pending official UPSC key. It changes currency/deposit composition, not automatically total money.
2021 Q5	Urban Co-operative Banks	Answer withheld pending official UPSC key. Use the banking-law and co-operative-law dual perimeter.
2022 Q64	Banks Board Bureau and public-sector appointments	Answer withheld pending official UPSC key. Preserve the body's executive/advisory status and subsequent institutional evolution.

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish a bank from an ordinary NBFC by tracing liabilities, payments, credit creation and safety nets. Answer in 150 words.

Demand decoding

Define the institutional boundary, use named legal or regulatory evidence, trace the causal mechanism, and end with a qualification that answers the directive.

Answer plan and validation

- **Plan:** concept -> institution/rule -> mechanism -> trade-off -> qualified verdict.
- **Validated native-body count:** 142 alphanumeric words.

Model answer

A bank accepts public deposits for lending or investment and provides withdrawal facilities under section 5(b) of the Banking Regulation Act. Deposits are liabilities; loans and investments are assets. A bank loan normally creates a deposit, combining credit intermediation with money creation and settlement.

An NBFC may lend, invest, lease or finance specialised assets, but RBI's FAQ updated 29 April 2026 states that ordinary NBFCs cannot accept demand deposits, do not form part of the payment and settlement system and cannot issue cheques drawn on themselves. DICGC insurance is unavailable even for deposits accepted by an authorised NBFC-D.

Both allocate credit, yet their failure channels differ: banks face runnable insured deposits and payment disruption; NBFCs often face wholesale rollover and market contagion. Narrow banks and systemically important NBFCs receive differentiated rules, so legal powers and actual risk must both be examined.

ORIGINAL MAINS 2 - 10 MARKS

Question: Explain how PCA, bank resolution and DICGC perform different roles in depositor protection. Answer in 150 words.

Demand decoding

Define the institutional boundary, use named legal or regulatory evidence, trace the causal mechanism, and end with a qualification that answers the directive.

Answer plan and validation

- **Plan:** concept -> institution/rule -> mechanism -> trade-off -> qualified verdict.
- **Validated native-body count:** 142 alphanumeric words.

Model answer

Prompt Corrective Action is preventive supervision. RBI's revised framework, effective 1 January 2022 for covered scheduled commercial banks, monitors capital, net NPA and leverage breaches and can restrict dividends, expansion, risk-taking or expenditure while requiring repair.

Resolution begins when ordinary correction is inadequate. Under banking law, reconstruction, amalgamation, moratorium or liquidation can preserve critical functions and allocate losses. It is not the same as temporary central-bank liquidity, which addresses a payment-timing problem rather than missing capital.

DICGC is the depositor backstop. Since 4 February 2020 it insures eligible principal and interest up to Rs 5 lakh per depositor per bank, aggregating accounts across branches in the same right and capacity.

These layers reduce panic but do not guarantee shareholders, bonds or NBFC deposits. A sound framework therefore sequences supervision, corrective action, orderly resolution and limited insurance while retaining owner and management accountability.

ORIGINAL MAINS 3 - 15 MARKS

Question: Analyse how India's differentiated banks and rural institutions combine inclusion with prudential limits. Answer in 250 words.

Demand decoding

Define the institutional boundary, use named legal or regulatory evidence, trace the causal mechanism, and end with a qualification that answers the directive.

Answer plan and validation

- **Plan:** concept -> institution/rule -> mechanism -> trade-off -> qualified verdict.
- **Validated native-body count:** 221 alphanumeric words.

Model answer

India uses institutional diversity to address geography, ticket size and payment-access gaps. Regional Rural Banks combine a rural mandate with 50:35:15 ownership among the Union, sponsor bank and State. Co-operative banks add member ownership and local information, while their banking functions remain under RBI and their co-operative identity under the relevant registrar.

Local Area Banks restrict operations geographically. Small Finance Banks accept deposits and lend to smaller clients; RBI reduced their overall priority-sector target to 60 per cent of ANBC or CEOBE from FY 2025-26, while the Licensing Guidelines dated 28 November 2025 require at least half their loan portfolio to comprise advances up to Rs 25 lakh. Payments Banks accept demand deposits and provide payments but cannot lend from their own balance sheets; directions updated 1 April 2026 cap an individual's end-day balance at Rs 2 lakh.

Business Correspondents extend the principal bank's last-mile interface, while priority-sector rules influence portfolio allocation. These arrangements lower distance, documentation and transaction-cost barriers and can build formal repayment histories.

However, narrow mandates create viability risks, local concentration can magnify shocks, and target compliance may not ensure suitable or productive credit. RBI must therefore combine proportional prudential rules, bank responsibility for agents, consumer protection and credible supervision. Inclusion should be judged by sustained usage and welfare, not licences, outlets or account openings alone.

ORIGINAL MAINS 4 - 15 MARKS

Question: Why can NBFC stress become systemic? Evaluate the scale-based regulatory response. Answer in 250 words.

Demand decoding

Define the institutional boundary, use named legal or regulatory evidence, trace the causal mechanism, and end with a qualification that answers the directive.

Answer plan and validation

- **Plan:** concept -> institution/rule -> mechanism -> trade-off -> qualified verdict.
- **Validated native-body count:** 215 alphanumeric words.

Model answer

NBFCs complement banks through vehicle, housing, infrastructure, consumer and last-mile credit, but many fund long or illiquid assets with bank borrowing, debentures or short-term market paper. A confidence shock can stop rollover, force asset sales, depress prices and transmit losses to mutual funds, banks, bond investors and borrowers. IL&FS in 2018 and DHFL stress demonstrated this wholesale-run channel.

RBI's Scale Based Regulation addresses heterogeneity through four layers. Directions updated 1 July 2026 place ordinary non-deposit-taking NBFCs below Rs 1,000 crore in Base Layer, while all deposit-taking NBFCs, larger non-deposit takers and specified activities occupy Middle Layer. The 24 June 2026 amendment sets Rs 1,00,000 crore of audited assets as the Upper-Layer threshold. Top Layer is intended for exceptional escalation.

The architecture is sensible because governance, capital, liquidity, disclosure and supervisory intensity increase with systemic footprint. Activity-based placement also prevents a large CIC, HFC or infrastructure financier from escaping stronger rules merely because it is not a bank.

Yet size is an imperfect proxy. Common lenders, guarantees, securitisation, group exposure, cyber dependence and correlated assets can make smaller entities important. Effective regulation therefore needs ALM surveillance, stress tests, consolidated group supervision and conduct rules alongside layer thresholds. Proportionality should preserve specialised finance without permitting equivalent risk to migrate to the lightest wrapper.

ORIGINAL MAINS 5 - 20 MARKS

Question: Design a regulatory architecture that separates ownership, management, prudential supervision, consumer protection and resolution in Indian banking. Answer in 250 words.

Demand decoding

Define the institutional boundary, use named legal or regulatory evidence, trace the causal mechanism, and end with a qualification that answers the directive.

Answer plan and validation

- **Plan:** concept -> institution/rule -> mechanism -> trade-off -> qualified verdict.
- **Validated native-body count:** 216 alphanumeric words.

Model answer

Banking governance should begin by assigning each function to the correct actor. Owners provide capital, appoint through the applicable statutory process and bear residual risk; they should not direct individual loans. Boards set strategy, risk appetite and controls. Management underwrites, monitors and recovers credit. RBI licenses under section 22 of the Banking Regulation Act, sets prudential and conduct rules, inspects and enforces. DICGC insures eligible deposits; it neither manages nor supervises banks.

The architecture needs five safeguards. First, fit-and-proper assessment, conflict disclosure, recusal and section 20 connected-lending restrictions should prevent promoter or director capture. Second, capital, liquidity, concentration and provisioning rules should match balance-sheet risk. Third, risk-based supervision and PCA should intervene before losses become unmanageable. Fourth, RBI's Digital Lending Directions dated 8 May 2025 should keep the regulated entity responsible for its app or lending-service provider, with KFS, APR disclosure, direct fund flows and need-based consent. Fifth, reconstruction, amalgamation or liquidation should preserve critical functions and allocate losses, while DICGC protects eligible deposits up to the dated statutory ceiling.

Public ownership, private incentives and co-operative membership create different governance problems, but none replaces regulation. Conversely, regulatory intensity should remain proportionate to risk. The objective is a credible chain from entry to exit that protects depositors and borrowers without guaranteeing shareholders, connected borrowers or inefficient management.

ORIGINAL MAINS 6 - 20 MARKS

Question: Compare development financial institutions with banks and NBFCs. How should India use NABARD, SIDBI and NaBFID without weakening credit discipline? Answer in 250 words.

Demand decoding

Define the institutional boundary, use named legal or regulatory evidence, trace the causal mechanism, and end with a qualification that answers the directive.

Answer plan and validation

- **Plan:** concept -> institution/rule -> mechanism -> trade-off -> qualified verdict.
- **Validated native-body count:** 229 alphanumeric words.

Model answer

Banks transform deposits into credit and provide payments; NBFCs specialise in financial intermediation without ordinary bank demand-deposit and settlement powers. Development financial institutions add a purposive mandate: they supply patient finance, refinance, appraisal capacity and market development where long tenor, externalities or coordination failures deter normal lenders.

NABARD, created under Act 61 of 1981 and established in 1982, is the apex development bank for agriculture and rural development. It refinances, develops and supports supervision in the rural credit system. SIDBI, established on 2

April 1990, is the principal financial institution for MSME promotion, financing and development, using direct finance and refinance. The NaBFID Act came into force on 19 April 2021 to create a specialised infrastructure DFI; RBI has regulated and supervised it as an AIFI since its 8 March 2022 advice, and it began commercial operations on 29 December 2022.

These institutions can correct maturity gaps, pool sector expertise, crowd in investors and build bond or refinancing markets. They should not become channels for off-budget direction or evergreening. Governance must protect professional appraisal, price risk transparently, disclose contingent fiscal support and evaluate additionality: whether the project or borrower gained finance that markets would not provide on reasonable terms.

India therefore needs DFIs as catalysts, not substitutes for viable projects, competitive banks or disciplined capital markets. Mandate, funding horizon, risk allocation and measurable development outcome should govern their use.